

Palm Hills Developments — valuation workbook

Edition of 30 August 2026. Supersedes 11 June 2026.

This workbook is for information and education. It is not investment advice and carries no rating and no price target.

BLUE cells are inputs and live on the Assumptions sheet. BLACK cells are formulas. Change a blue cell and the statements, the discounted cash flow and the value per

Reported history comes only from the company's own audited statements and its own results releases. Where a figure the valuation needs is not disclosed, it is absent and

The single most important number in this workbook is cash conversion — the share of revenue that reaches operating cash flow. The company does not disclose its collection

Summary

Every figure recomputes from Assumptions.

Valuation

Per share (EGP)

Weak cash conversion (3.9%)	9.17
Average cash conversion (8.7%)	19.30
Strong cash conversion (17.9%)	38.74
Average, alternative country-risk basis	21.44

Market price, 23 Aug 2026	15.20
Book value of equity per share	6.56
Cash conversion implied by the market price	6.78%

Cost of capital

Weighted average, rating basis	26.25%
Weighted average, swap basis	25.24%
Previous edition used	18.00%

Equity (EGP mn)	Enterprise value
26,215.00	45,704.00
55,208.00	74,697.00
110,792.00	130,281.00
61,314.00	80,803.00

Fundamental valuation — bridge to equity

All formulas; drivers live on Assumptions.

Present value of the explicit ten years	49,459.8
Present value of the terminal value	25,237.2
Enterprise value	74,697.0
less net debt	-24,133.2
plus investments in associates	3,611.6
plus investment property	1,032.5
Equity value	55,207.9
Shares outstanding (mn)	2,859.9
Value per share (EGP)	19.30
Terminal value as a share of enterprise value	34%

Assumptions — every blue cell is an input

Change one and the whole workbook recomputes.

Driver	Value
Cash conversion — central	8.71%
Cash conversion — weak	3.94%
Cash conversion — strong	17.87%
Gross margin	38.32%
Overheads as a share of revenue	17.60%
Delivery capacity growth	25.20%
Terminal growth	12.00%
Cost of capital	26.25%
Net debt (EGP mn)	24,133.2
Investments in associates (EGP mn)	3,611.6
Investment property (EGP mn)	1,032.5
Shares outstanding (mn)	2,859.9
Opening revenue (EGP mn)	36,169.3
Opening order book (EGP mn)	263,000.0
Order book target multiple of revenue	5.41

NOT DISCLOSED — absent by design, never estimated

fy2025 results release

h1 2026 results

securitisation pricing

per project pricing

backlog cost to complete

Source

mean of the three published cash-flow statements

2023 and 2025 outcome

2024 outcome

average of FY2025 and 1Q2026 as reported

FY2025 as reported

Egyptian consumer price inflation, three-year mean

below nominal growth, stated

built on the Fundamental Valuation and Peer sheets

gross borrowings less cash, FY2025 audited

FY2025 audited

FY2025 audited

FY2025

FY2025 audited

as at 31 March 2026

the 2024 level, to which the model converges

PHD has published FY2025 consolidated statements but NO FY2025 full-year results release. '

As at this build date (30-Aug-2026) no 2Q/H1-2026 statements or release are posted to the res

The EGP 2.015bn securitisation of 4-Feb-2026 discloses tranche sizes, tenors and national-sca

The company does not disclose per-project unit mix, average unit area, price per square metre

Remaining construction cost against the EGP 263bn backlog is not disclosed as a single figure

The release is where units sold, new sales, deliveries and construction spend are disclosed at the ultimate centre; the newest disclosure of any kind is 1Q2026 (posted 25-Jun-2026). The study includes the ratings but NO coupon on any tranche, so the company's own marginal cost of debt can be used for construction cost per square metre. The 11-Jun-2026 edition carried a full per-project cost. It is inferred in the model from the realised gross margin and flagged where used.

Bridge from enterprise value to equity

A developer is one business; the bridge is the parts that sit outside the operating cash flows.

Operating business, discounted cash flow	74,697.0
Investments in associates	3,611.6
Investment property	1,032.5
Cash	9,419.5
Gross borrowings	-33,552.7
Equity value	55,207.9
Per share (EGP)	19.30

Segments and operating drivers

What the company discloses, and at what level the forecast is built.

Disclosed driver	Value
New sales, 1Q2026 (EGP mn)	52,000
New sales, FY2024 (EGP mn)	151,016
Order book, 31 Mar 2026 (EGP mn)	263,000
Order book, FY2024 (EGP mn)	147,000
Units sold, FY2023	5,300
Units delivered, FY2023	1,500
Construction spend, FY2024 (EGP mn)	8,500
Cash collections, FY2024 (EGP mn)	25,400
Land bank (mn sqm)	33.0

Build level: SEGMENT, not unit.

The company discloses no per-project unit mix, unit area, price per square metre or construction cost per square metre. The forecast is built at the finest level the disclosure supports and the limit is stated rather than filled.

Note

includes EGP 24,000mn from one land-plot launch

chart series

units sold and not yet delivered

the last year the company disclosed a unit count

Relative and normalised measures

Revenue	17,462.1
Cash from operations	756.7
Cash conversion	4.3%
Price to book (market)	2.32
Book value per share (EGP)	6.56
Return on equity, 2025	25.3%

27,167.3	36,169.3
4,854.8	1,424.2
17.9%	3.9%

Discounted cash flow — central case

Every row a formula off Assumptions; change a blue cell there.

EGP million	2026	2027
Delivery capacity	45283.9636	56695.522427
Revenue	45,284	56,696
Gross profit	17,354	21,727
Overheads	-7,970	-9,978
Operating cash flow	3,946	4,940
Free cash flow to the firm	10,124	11,004
Discount factor	0.792	0.627
Present value	8,019	6,904
 Sum of the explicit years	 49,460	
Terminal value, discounted	25,237	
Enterprise value	74,697	

2028	2029	2030	2031	2032
70982.794079	88870.458187	111265.81365	139304.79869	174409.60796
70,983	88,870	111,266	139,305	174,410
27,202	34,057	42,640	53,385	66,838
-12,493	-15,641	-19,582	-24,517	-30,695
6,185	7,744	9,695	12,139	15,197
12,106	13,486	15,214	17,376	20,084
0.497	0.394	0.312	0.247	0.196
6,016	5,308	4,743	4,291	3,929

2033	2034	2035
218360.82917	273387.75811	342281.47316
218,361	273,388	342,281
83,681	104,769	131,170
-38,430	-48,115	-60,240
19,027	23,822	29,825
23,475	27,719	33,033
0.155	0.123	0.097
3,637	3,402	3,211

Income Statement — forecast

Central case. EGP million.

EGP million	2026	2027
Revenue	45,284	56,696
Gross profit	17,354	21,727
Overheads	0	0
Pre-tax profit	828	3,193
Tax	186	718
Gross margin	38.3%	38.3%

2028	2029	2030	2031	2032
70,983	88,871	111,266	139,305	174,410
27,202	34,057	42,640	53,385	66,838
0	0	0	0	0
6,154	9,861	14,502	20,312	27,587
1,385	2,219	3,263	4,570	6,207
38.3%	38.3%	38.3%	38.3%	38.3%

2033	2034	2035
218,361	273,388	342,282
83,681	104,769	131,170
0	0	0
36,695	48,098	62,375
8,256	10,822	14,034
38.3%	38.3%	38.3%

Balance sheet — as reported

EGP million.

Non-current assets	65,900.2
Current assets	106,229.6
Total assets	172,129.8
Current liabilities	105,099.0
Non-current liabilities	48,265.1
Total liabilities	153,364.1
Shareholders' funds	18,765.8
Check: assets less liabilities and equity	-0.10

54,166.4
69,270.9
123,437.3
74,496.9
34,315.7
108,812.6
14,624.7
0.00

Cash Flow — forecast

Central case. EGP million.

EGP million	2026	2027
Operating cash flow	3,946	4,940
Free cash flow to the firm	10,124	11,004

2028	2029	2030	2031	2032
6,185	7,744	9,695	12,139	15,198
12,106	13,486	15,214	17,376	20,084

2033	2034	2035
19,027	23,822	29,825
23,475	27,719	33,033

Summary financials, as reported

EGP million

Revenue	17,462.1
Gross profit	5,507.6
Pre-tax profit	2,300.7
Profit after tax and minority	1,581.5
Cash from operations	756.7

27,167.3	36,169.3
9,330.1	14,887.6
4,320.6	6,251.1
3,254.9	4,216.7
4,854.8	1,424.2

Price distribution — published output, reproduced not re-de

This is the price engine's distribution, independent of the valuation.

Percentile		
5th	13.08	11.98
25th	14.67	14.61
50th	15.64	16.34
75th	16.68	18.27
95th	18.71	22.26
Resolved three-month tests	57	
Inside the 90% band	91.2%	
Inside the middle band	50.9%	
Band width vs a random wa	1.47	

erived

Value per share against the two things that move it

Read down a column: cash conversion moves value more than the discount rate does.

Cash conversion	22.25%	24.25%	26.25%
3.9%	15.00	11.61	9.17
6.0%	21.60	16.91	13.54
8.7%	30.28	23.87	19.30
12.0%	40.80	32.31	26.28
17.9%	59.58	47.38	38.74

28.25%	30.25%
7.31	5.86
11.02	9.05
15.89	13.25
21.79	18.33
32.33	27.41

Per share and ratios

Shares outstanding (mn)	2,859.9
Market price (EGP)	15.20
Book value per share (EGP)	6.56
Price to book	2.32
Earnings per share, 2025 (EGP)	1.47
Net debt per share (EGP)	8.44
Order book per share (EGP)	91.96
Gross margin, 2025	41.2%
Cash conversion, 2025	3.9%

Egyptian listed developers

Every measure on the same window, the same cleaning and the same index.

Code	Company	Beta	R-squared
TMGH	Talaat Moustafa Group Holding	1.4718	32.6%
PHDC	Palm Hills Developments	1.0493	29.9%
ORHD	Orascom Development Egypt	0.8837	32.1%
HELI	Heliopolis Housing and Development	0.7653	28.8%
EMFD	Emaar Misr for Development	0.7388	24.4%
PRDC	Pioneers Properties for Urban Developmer	0.7067	25.8%
OCDI	Sixth of October Development & Investme	0.4938	10.3%

*multiple
would
mislead.*

Std error	Volatility	Worst fall
0.185	43.9%	-44.2%
0.182	43.9%	-48.7%
0.173	46.4%	-42.9%
0.182	44.4%	-39.6%
0.169	41.1%	-47.1%
0.186	42.2%	-52.0%
0.224	47.1%	-46.6%